

Olevel economics

chp:- Demand and Supply

Topic :- Subsidy with PED!

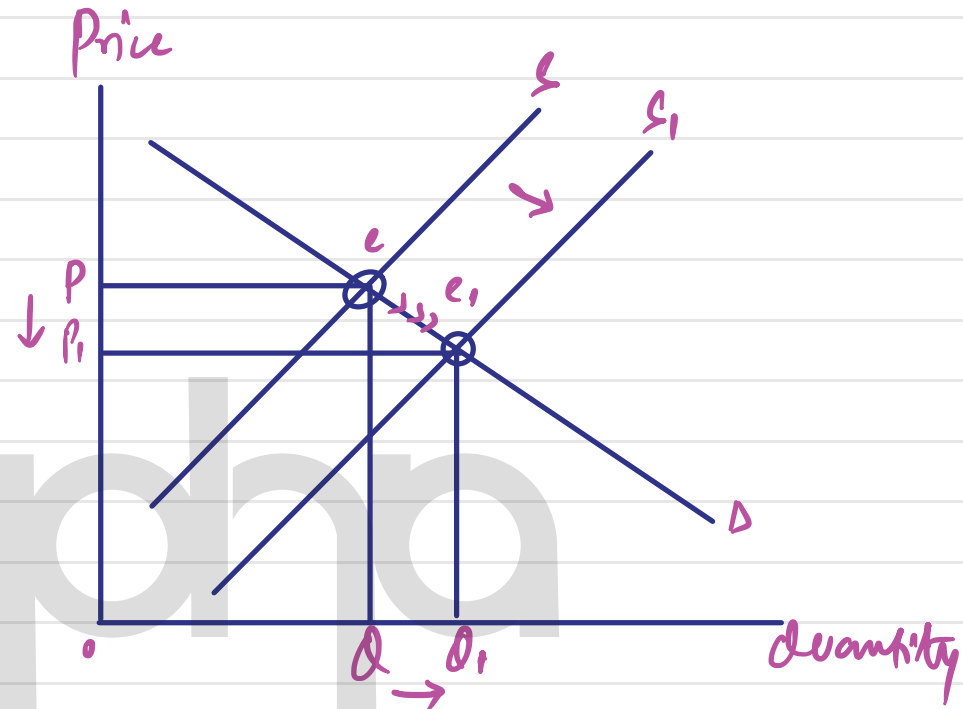
alpha

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Subsidy with Price elasticity of demand

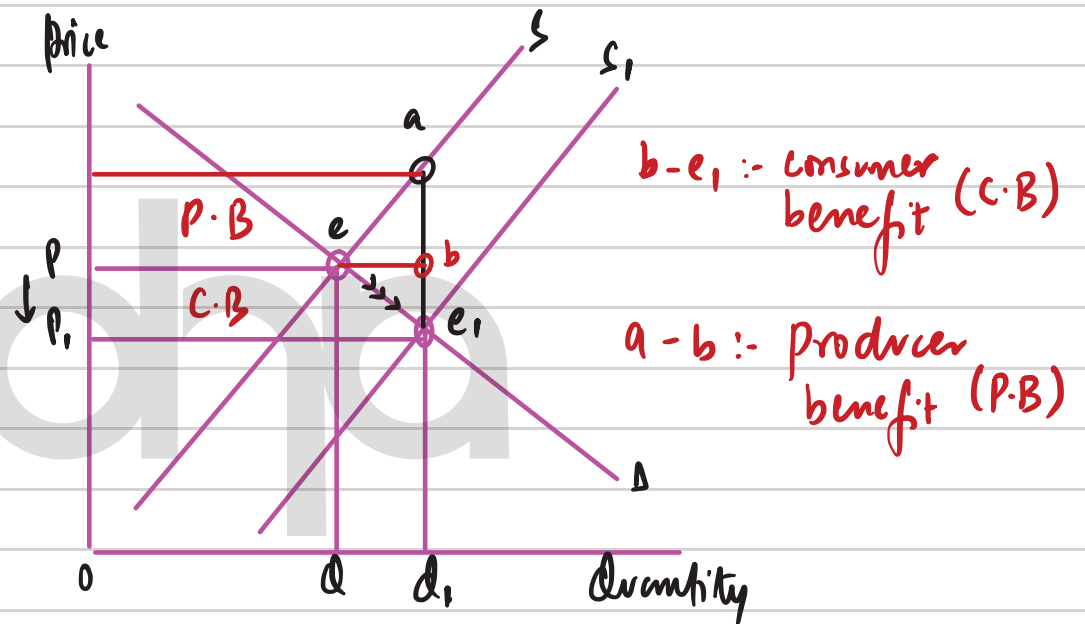
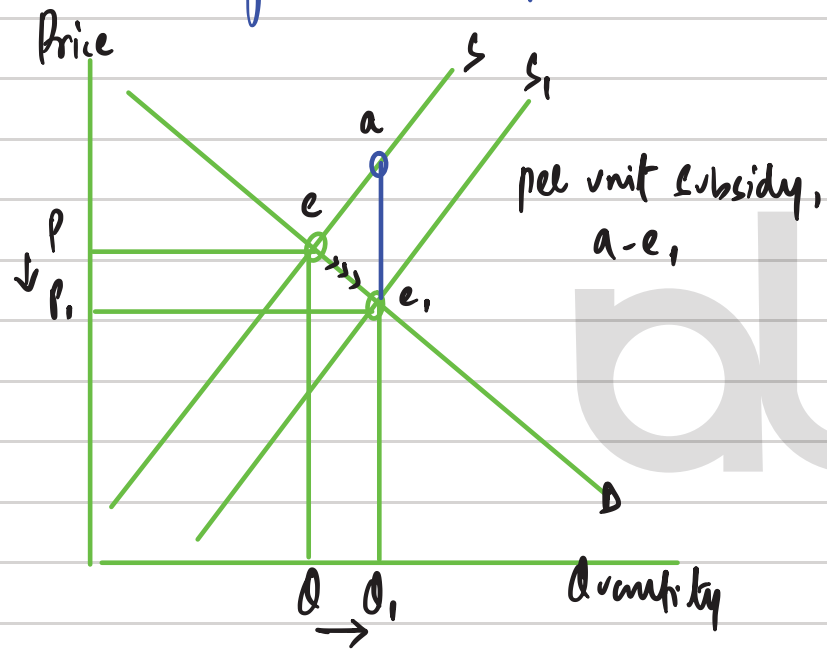
↓↓
 grant/cash payment
 ↓↓
 By:- Government
 ↓↓
 TO:- producers
 ↓↓
 cost ↓
 ↓↓
 Supply ↑
 ↓↓
 Surplus
 ↓↓
 prices ↓
 ↓↓
 Quantity demand ↑



Impact on subsidy on equilibrium
 price and equilibrium quantity

Subsidy, it is a grant/cash payment given by the government to the producers to encourage them to produce more, this reduces cost of production and encourages them to supply more!

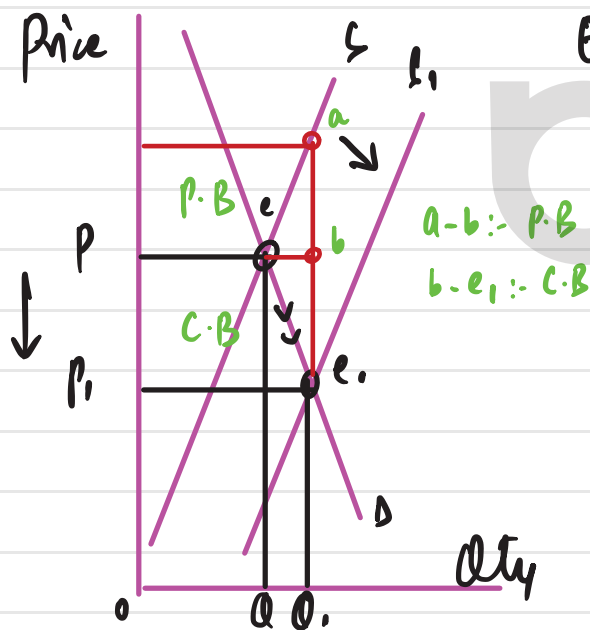
Just like per unit tax, concept here will be per unit subsidy, it will be represented as vertical distance, which will be identified from new quantity traded after subsidy



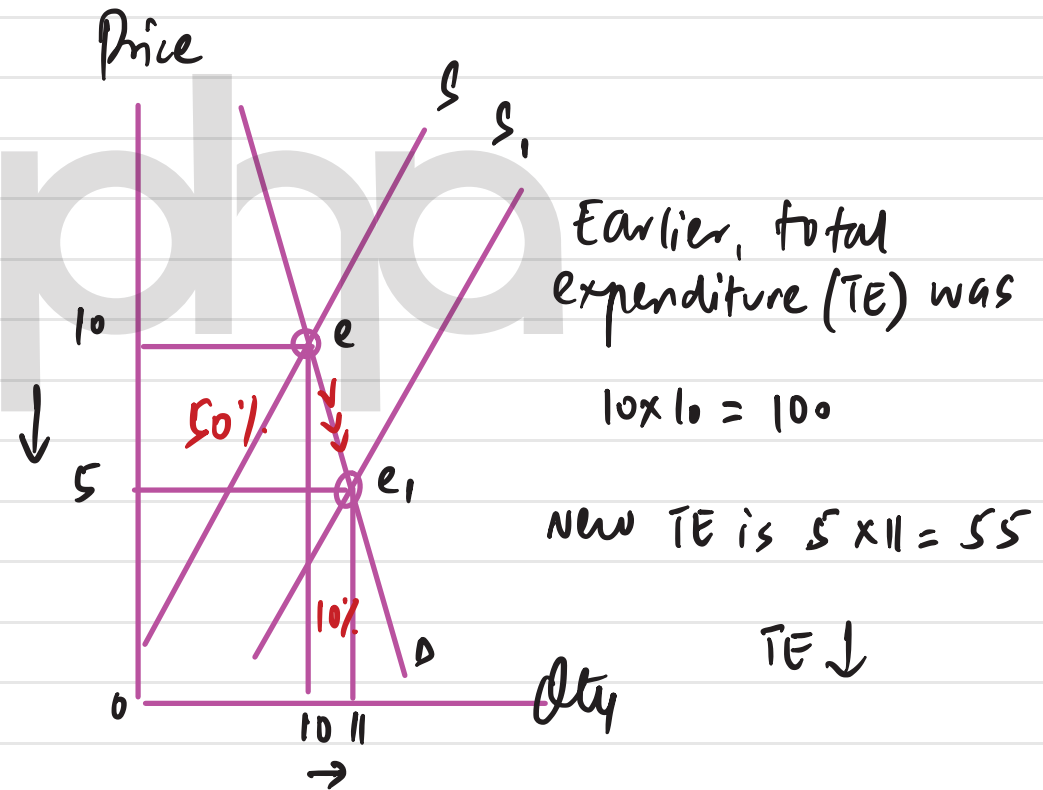
Subsidy given to a product, that is a Necessity (Inelastic demand)



Target here is to reduce the expenditure of consumers by making basic necessity goods affordable. Once subsidy is provided, prices will reduce by greater percentage, but quantity demand will extend by smaller percentage, so for almost same level of quantity demand, consumers are required to pay less, thus benefiting them.



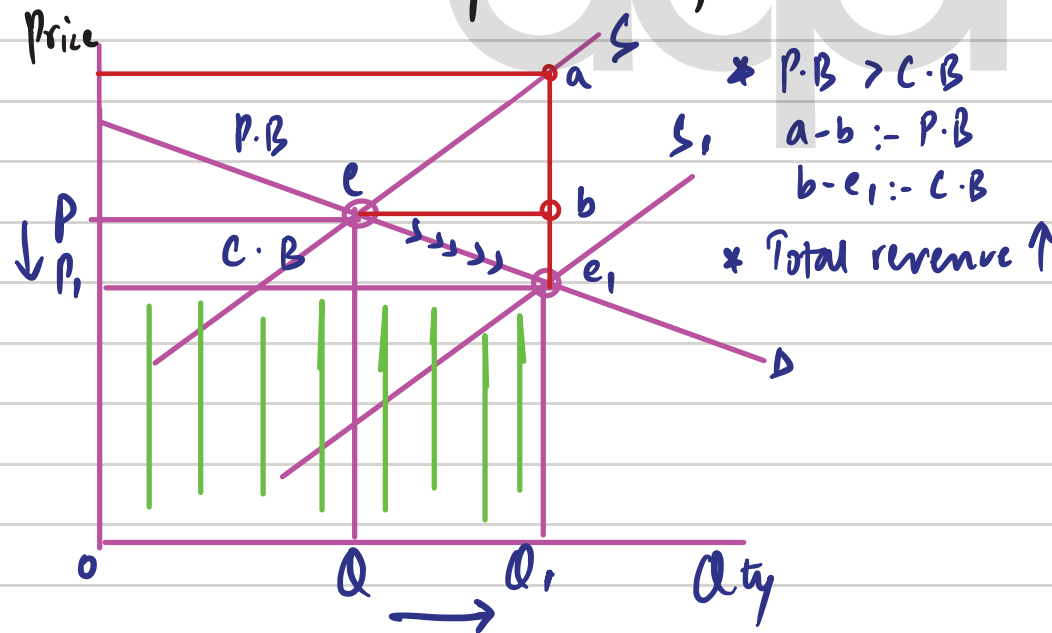
$$C \cdot B > P \cdot B$$



Subsidy provided to a luxury good, e.g. local car industry (Elastic demand)



Purpose of giving subsidy to local car industry is to make them competitive, and support if they are struggling to compete with international market, as domestic residents prefer imported goods. Providing subsidy will reduce the price of local cars, domestic consumers are likely to switch from imported cars to domestically manufactured cars, this will help the economy as payments will not go abroad, improving trade position and also boosting economy's GDP and employment.



Questions

Marks :- 12

- Q1 Explain why government decides to provide subsidy to a basic necessity good? (6) → Subsidy with inelastic demand [Diagram]
- Q2 Explain why government decides to provide subsidy to a luxury good, e.g. car industry? (6) → Subsidy with elastic demand (Diagram)